

Levi's Marketing Audit

Executive Summary

Market Situation Overview

Levi's is the genuine first American denim brand. With over 100 years on the market it is a name known and loved by many households. The biggest challenges facing Levi's in the apparel market is first the saturation of companies that exist as competitors or substitutes. Athletic brands like Fabletics are developing denim products to try to steal Levi's share of the market. There is a certain level of appeal that comes from athleisure denim as it may be more comfortable or match style. Additionally discontent with any shifts Levi's has made may take further damage from new options on the market as it becomes easier for consumers to switch brands. With these new entrants and cross boundary disruptions of other brands it is pertinent that Levi's dig into a strong and durable campaign and position as a brand that consumers want to continue to rely on.

This ties into the second challenge, Levi's has created a problem for itself in attempting to split their brand to appeal to two vastly different pricing demographics. We believe that by developing both low and high end jeans the brand is damaging its image and perception. Levi's has maintained a standard for years of long lasting, high quality denim, and yet with recent adjustments within the brand it is shifting that image and losing its reflection of quality. If it were to focus solely on continuing to produce high quality long lasting denim made with thought and purpose we believe it could combat the current challenge it faces of being stuck in the middle.

Because of its multi generational recognition Levi's has great strength in brand recognition. It is quite easy to tell when someone is wearing a pair of Levi's and is often something that individuals are proud to show off. If Levi's were to leverage the position it has of brand recognition and trust it can continue to be an established pillar in the apparel industry that people know and trust. We believe that targeted marketing to a high income audience with interests in traditional styles rooted in American tradition will strengthen the brand's position and durability even with recent shifts in the market from new entrants and competition.

Additionally with the habits Levi's has in place for sustainability and ethics it has strong pillars to support the brand and encourage customers to maintain their loyalty, in particular with recent pushes for sustainability and going green. Ultimately Levi's strengths all tie back to the fact that it has built a strong and reliable brand that people want to love and trust because it is deserving of that. By leveraging the current standards it has in place Levi's can generate new promotions to adapt their market position to one that will continue to last.

Strategic Vision Overview

Levi Strauss & Co. has positioned itself as a force to be reckoned with within the Fashion Industry. Proving to be best in class, the brand has leaned into its role as the creator of original denim. Centering itself on its premium image, sustainability, and community outreach Levi's has been able to stay a market leader for decades.

While Levi's remains a dominant industry benchmark, the current landscape is defined by price sensitive consumers, the rise of thrifting, and heightened competition from well known brands entering the denim market. To maintain its global leadership, it is essential that the company emphasize the value proposition of its denim rather than competing on price. In addition, as thrifting grows in popularity the company must lean into the resale market by promoting its own version of the trend, creating a circular fashion ecosystem.

We recommend Levi Strauss launch a new campaign titled, "Stories told in Denim," with the following key points:

- **Refocus Messaging on Levi's Heritage and Durability:** Utilize promotional messaging to reflect Levi's heritage and durability. Reinforcing its denim as an heirloom, not just an item of clothing.
- **Introducing Brand Ambassadors Matthew McConaughey and Julia Roberts:** Work with brand ambassadors such as Matthew McConaugh and Julia Roberts to bridge the gap between 90s nostalgia and modern western-chic, while further enforcing gender parity.
- **Redesign the Levi's Buy Back Program as "Levi's Second Story":** Create and encourage a denim buy-back program to increase loyalty and sustainability.
- **Inaugurate the Levi's Legacy Fashion Show, Repurposed Denim:** Leaning into thrifting culture, host a repurposed denim fashion show that showcases upcycled and repurposed denim. Turning a sustainability goal into a high-visibility event.
- **Remove the Signature Denim Line to Maintain a Premium Image:** removing Levi's cheaper option enables the company to focus primarily on its premium denim, avoiding getting stuck in the middle.

Key Recommendations and Plan of Action

Refocus Messaging on Levi's Heritage and Durability

By pivoting away from pop-culture trends, Levi's will reclaim its identity as the world's definitive denim authority. This campaign leverages "The Generational Thread" narrative, positioning a pair of Levi's as a multi-generational investment rather than disposable fashion. Highlighting the unique aging process of raw denim and the craftsmanship behind it reinforces a brand promise of authenticity and longevity, effectively cushioning Levi's from fast-fashion cycles.

Introducing Brand Ambassadors Matthew McConaughey and Julia Roberts

Partnering with these iconic celebrities allows Levi's to capitalize on the 90s fashion renaissance through a lens of authenticity. Both actors share a "hard-work" ethic that mirrors the Levi's origin story, making them credible voices for the brand. This strategy targets the high-spending Millennial and Gen Z demographics, positioning Levi's as a timeless cultural staple that tops social media trends.

Redesign the Levi's Buy Back Program as "Levi's Second Story"

Through this program, Levi's could repair, repurpose, or recycle returned items based on their condition. This initiative delivers three key advantages. First, it raises switching costs by offering store credit for returned items, encouraging repeat purchases, and strengthening customer loyalty. Second, it enhances both perceived and actual sustainability by extending the life of wearable denim and recycling unusable pieces into new products rather than sending them to landfills. Lastly, it helps offset losses to the third-party resale market by establishing an in-house platform where customers can buy and sell pre-owned Levi's products at reduced prices.

Inaugurate the Levi's Legacy Fashion Show, Repurposed Denim

While the event could incorporate pieces from the buy-back program, its primary focus would be on showcasing emerging designers, particularly students and new talent. The goal is to create excitement around the brand while highlighting Levi's sustainability efforts. In addition, the event would generate valuable brand storytelling opportunities, capturing unique perspectives from designers, models, and attendees that can be leveraged in future marketing campaigns.

Remove the Signature Denim Line to Maintain a Premium Image

Levi's is currently "stuck in the middle" by selling premium and signature denim. In order to finetune, it should switch to a solely premium pricing strategy. This will be successful because so many competitors are entering the denim market, especially with low-quality. Premium denim amplifies "Stories Told In Denim," which emphasizes the generational value of high-quality denim.

Conclusion

Levi's is an iconic brand to many generations of Americans, and we plan to help them stay that way. While the competition in the apparel industry is fierce, Levi's is uniquely positioned to be a standout option for denim consumers due to its creation of the classic pants. By continuing to build its brand image through authentic storytelling, sustainable initiatives, and consumer engagement, Levi's will continue to expand its reach in the Gen Z and Millennial consumer markets. In order to accomplish this, we recommend that Levi's implement the strategies of

refocusing its branding message, appointing brand ambassadors Matthew MacConaghey and Julia Roberts, creating a denim buy-back program, and hosting a repurposed denim fashion show. These implemented recommendations will reinforce Levi's long-standing legacy as the best denim option for all generations of consumers.